monopoly power of middlemen (amend Agricultural Produce Market Committee – APMC – Acts), as well as by improving logistics.

(v) Improve farm productivity through technology extension, irrigation, etc.

Note that of these steps, monetary policy has a direct role in (i) and (ii) by slowing the demand for labour as well as anchoring inflation expectations, and thereby moderating wage bargaining. Indeed, with the slowdown in the urban economy, there is some evidence now that rural wage growth is slowing.

Finally, our food prices have largely caught up with global prices. Given that global food prices have been moderating, such moderation should feed through to domestic food prices – provided we do not intervene to prevent the feed-through of global prices, and do not intervene in limiting exports or imports.

Let me emphasize that the RBI welcomes rural prosperity and wants to help increase rural productivity through appropriate credit and investment. But recent inflation has not helped strengthen the hand of the farmer, so the fight against inflation is also in the farmer's interest.

To sum up,

- As prosperity has increased the demand for food, we have needed more food production (or imports).
- Higher agricultural commodity prices should have incentivized farmers to produce significantly more.
- They have, but not enough. Part of the reason may be that farmer earnings are being eaten away by higher costs, most important of which is wages.